

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL LONGSHOREMAN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
	:	
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND	:	
SSA ATLANTIC, LLC,	:	
	:	
Respondents.	:	
-----X	X	

**RESPONDENTS’ REPLY TO COMPLAINANT’S ANSWERING BRIEF
TO PARTIAL MOTION TO DISMISS AND MOTION TO STRIKE**

Respondents Gateway Terminals, LLC (“Gateway”), Charleston Stevedoring Company, LLC (“CSC”), Ports America Florida, Inc. (“PA”), Ceres Marine Terminals, Inc. (“Ceres”), and SSA Atlantic, LLC (“SSA”) hereby submit the following Reply to the Answering Brief filed by Complainant, the International Longshoreman’s Association (“ILA”), to Respondent’ partial motion to dismiss the Amended Complaint and motion to strike the ILA’s prayer for reparations (the “Motion”).

Respondents maintain that the Commission should dismiss Counts Two, Three, and Four of the Amended Complaint for failure to state a claim for which relief can be granted and strike the prayer for reparations for the reasons set forth in the Motion. Nothing in the Answering Brief rebuts Respondent’s arguments. Rather, the ILA doubles down on its unreasonable refusal to deal arguments, including claiming that legislative history is “extrinsic evidence” that should not be considered. The ILA ignores, but cannot avoid, the applicable statutory exclusion in 46 USC §

40301(d), which provides that the Shipping Act does not extend to maritime labor agreements (either collective bargaining agreements themselves or agreements among employers relating to collective bargaining). The ILA also skirts the Amended Complaint's failure to plead facts showing unreasonable refusals to negotiate or deal with and prejudice against specific parties in support of Counts Two and Three. Finally, the ILA's argument that the motion to strike should be denied because it is not required to "establish" harm at this point in the proceedings misses the mark. ILA is correct that it need not prove anything now, but it must plead facts showing an "actual injury" caused by a violation of the Act, and it has not done so.

Respondents also wish to note specific concerns regarding the outlook for discovery in this docket if Counts Two, Three, and Four are allowed to proceed as currently drafted. If these claims go forward backed by no allegations of any specific violative conduct, dates, victims or harms, it would seem to invite an unprecedented ILA fishing expedition. This seemingly would allow Respondent to canvas for any actual examples of the types of violations the Amended Complaint only speculates about. However, by pursuing an Amended Complaint untethered to any particular alleged refusals to deal or discriminatory acts, the ILA in effect is seeking a blank check to perform unbounded discovery against the very groups that sit across the table from the ILA in the collective bargaining context – ocean carriers and stevedores – under an implausible pretext that the ILA is seeking to protect the former from the latter. The sweeping geographic scope of the Amended Complaint (alleging prejudice against Georgia and South Carolina trade vis-à-vis other regions) opens the door even further, potentially subjecting Respondents and third-parties to ILA discovery about ports and competition across the country, not even just in the region at issue.

While discovery of such a broad scope would represent undue burden on Respondents, that is not the most serious risk it presents. Rather, the Respondents and ocean carriers face a significant

risk that opening the door to expansive discovery in this case will afford the ILA with unprecedented access to extensive nonpublic and sensitive commercial information, which in turn will afford the union with unprecedented and unfair advantages over the employers in the context of collective bargaining negotiations and disputes.¹ The Commission can head off these potential harms, however, simply by doing what the agency has done in precedent cases for decades: requiring Complainant to plead specific instances of alleged discrimination and refusals to deal with reasonable definiteness, rather than resting on broad assertions of market-wide reductions in competition, increases in rates, and reductions in service options.

For these reasons and those set forth below, Respondents respectfully request that the Commission consider its arguments in support of the Motion and dismiss Counts Two, Three, and Four of the Amended Complaint and strike the Prayer for reparations.

ARGUMENT

A. ILA's Answering Brief Does Not Rehabilitate Counts Two and Three of the Amended Complaint

The ILA contends that “revisiting” the sufficiency of Counts Two and Three would be “futile” because of the guidance that was set out within Your Honor’s June 23, 2022, Order. However, that Order specifically concerned Respondents’ motion to dismiss the original complaint. Respondent is not barred from challenging the sufficiency of the reworked allegations in the Amended Complaint, not is Your Honor precluded from considering the Motion based on the specific arguments asserted therein.

Next, as noted in the Motion, Count Two must be dismissed because the Amended

¹ Because of these concerns, if the Commission does not dismiss Counts Two, Three, and/or Four, Respondents will have no alternative but to seek a broad protective order to protect their interests, and potentially those of third parties.

Complaint fails to plead facts supporting a claim of unreasonable preference and prejudice. The ILA's assertions in the Answering Brief that carriers and shippers calling on Savannah and Charleston are disadvantaged compared to shippers and carriers using other ports and terminals in the Northeast or Gulf Coast still fail to allege that Respondents engaged in any discriminatory or disparate treatment of any party, or that such treatment was unreasonable. That is, the Amended Complaint contains no allegations that Respondents have treated some or all shippers or carriers utilizing Charleston and/or Savannah differently from how Respondents have treated any other similarly situated parties.

To make out a Section 41106(2) claim, the complaining party must establish that the complainant and another party are similarly situated or in a competitive relationship; that the parties are accorded different treatment by the respondent marine terminal operator; and that the differential treatment injures the complaining party. If the complaining party makes that showing, the respondent marine terminal operator has the burden of justifying the differential treatment based on legitimate transportation factors.

Santa Fe Disc. Cruise Parking Inc. v. Fed. Mar. Comm'n, 889 F.3d 795 (D.C. Cir. 2018), citing *Maier Terminals LLC v. Port Auth. of N.Y. and N.J.*, No. 12-02, 2015 WL 942618, at *13 (FMC Dec. 18, 2015). This framework of factors for establishing a violation based on unreasonable preference and prejudice has remained largely consistent through over a century of jurisprudence under the Shipping Act of 1984 and the Shipping Act, 1916, and cannot now be disregarded by Complainant.

While the ILA need not *prove* specific competitive injury at this time, it must plausibly allege that Respondents are subjecting certain shippers and carriers to unreasonable prejudice as compared to how Respondents treat competing parties in the same market, and allege that such disparate treatment is not justified by valid transportation factors. None of these factors are satisfied by the Amended Complaint. A claim of unreasonable preference and prejudice cannot be sustained simply by asserting that shippers and carriers dealing with Respondents in Charleston

and Savannah might face different rate and service conditions than carriers and shippers that use different terminals in other ports in different parts of the country.

The ILA's arguments regarding Count Three similarly fail. The ILA asserts that shippers and carriers could negotiate rates and fees independently prior to the establishment of the joint ventures, and therefore, Respondents are unreasonably refusing to deal and negotiate. Yet – these allegations are purely speculative and fail to meet the plausibility and definiteness standards required at this stage of the pleadings. Indeed, the ILA's papers do not contain a single example of a time when any of the Respondents allegedly “refused to deal,” nor do they identify a single shipper or carrier that purportedly was affected, or any facts to support why such imagined refusal should be adjudged to be “unreasonable” for the purposes of the Act. Indeed, Count Three spotlights the unsustainability of the ILA's case – the ILA needs a third-party victim, but cannot identify one, hence the generalized assertions concerning shippers and carriers (*i.e.*, two groups more than capable of defending themselves).

The ILA also ignores Respondent's argument that Counts Two and Three are simply an effort to relabel and pursue an alleged breach of the competition standard in section 6(g) of the Shipping Act, 46 U.S.C. § 41307(b)(1), for which no private right of action exists. That section 6(g) standard is at the core of the Commission's authority to oversee and police competition in the ocean carrier and marine terminal markets. It states in relevant part:

If, at any time after the filing or effective date of an agreement under chapter 403 of this title, the Commission determines that the agreement is likely, by a reduction in competition, to produce an unreasonable reduction in transportation service or an unreasonable increase in transportation cost or to substantially lessen competition in the purchasing of certain covered services, the Commission, after notice to the person filing the agreement, may bring a civil action in the United States District Court for the District of Columbia to enjoin the operation of the agreement. The Commission's sole remedy with respect to an agreement likely to have such an effect is an action under this subsection.

Importantly, Congress has expressly prohibited private complaint cases to enforce the 6(g)

standard, and placed adjudication of such cases exclusively within the District Court, not the Commission's agency adjudication process. *See* 46 U.S.C. § 41301(a). As a result of this statutory restriction, private parties cannot take on the role of shadow competition regulators, using FMC adjudications to investigate and pursue allegations that carriers or terminal operators have reduced competition in ways that unreasonably increase rates or reduce service in certain markets.

That, however, is exactly what the ILA endeavors to do with Counts Two and Three. While those counts nominally reference sections 41106(2) or (3), the ILA's actual allegations are that Respondents caused a reduction in competition, and that reduction in competition led to a reduction in service options and/or competitive rates in the Charleston and Savannah market. That argument, on its face, plainly represents an alleged breach of the 6(g) competition standard, not a violation of 41106(2) or (3). Given Congress' specific admonition that adjudication of the 6(g) competition standard lies solely with the district court, the agency cannot now embrace the ILA's effort to pursue a barely camouflaged 6(g) claim based on an unprecedented reinterpretation of sections 41106(2) or (3). To do so would be a clear circumvention of bright-line limits that Congress has placed on the FMC's adjudicative authority.

B. The Answering Brief Misunderstands the Shipping Act's Statutory Labor Exclusion, the Nature of Legislative History, and NLRA Field Preemption.

The ILA's arguments concerning Count Four misstate Respondents' positions, and fail to rebut the core arguments in the Motion. First, the Motion made two separate and complementary arguments to show that the Commission lacks jurisdiction to adjudicate Count Four: (1) the Commission lacks jurisdiction due to the express labor exclusion in 46 U.S.C. § 40301(d); and (2) the NLRB enjoys exclusive jurisdiction over alleged unfair labor practices, including disputes regarding alleged refusals to bargain or interference with collective bargaining rights. Both arguments reinforce the point that Congress and the courts could not have been clearer in

demarking a boundary between the maritime and labor regulatory schemes.

The FMC has no authority under the Shipping Act of 1984 – which incorporated the provisions of the Maritime Labor Amendments Act of 1980 – to regulate collective bargaining agreements, save for assessment agreements (i.e., agreements to address the funding of fringe benefits on other than a uniform man-hour basis). 46 U.S.C. §§ 40102, 40301(d-e) and 40305. The ILA has raised no issues concerning assessment agreements. Count Four of the ILA’s Amended Complaint instead addresses the alleged refusal of the Respondents to deal and negotiate with the union. Yet, the only contracts over which the Respondents could refuse to deal and negotiate with the ILA are the ILA’s collective-bargaining agreements in the two ports at issue. The ILA alleges that the Respondents “have consistently refused to recognize local agreements, side agreements, customs, and practices with respect to seniority, work hours, manning and discipline” previously agreed to in each port. These are plainly collective bargaining issues. Consequently, the FMC lacks jurisdiction to adjudicate Count Four, based on the plain language of the Shipping Act.

In addition, the longstanding doctrine of *Garmon* preemption provides that “[w]hen an activity is arguably subject to § 7 or § 8 of the [NLRA], the States as well as the federal courts must defer to the exclusive competence of the [NLRB].” *See Dist. No. 1, Pac. Coast Dist., Marine Engineers’ Beneficial Ass’n, AFL-CIO v. Liberty Mar. Corp.*, (D.C. Cir. 2016) (citing, *inter alia*, *San Diego Bldg. Trades Council v. Garmon*, 359 U.S. 236, 245 (1959)).

NLRA § 7, 29 USC § 157 provides that:

Employees shall have the right to self-organization, to form, join, or assist labor organizations, to bargain collectively through representatives of their own choosing, and to engage in other concerted activities for the purpose of collective bargaining or other mutual aid or protection, and shall also have the right to refrain from any or all of such activities except to the extent that such right may be affected by an agreement requiring membership in a labor organization as a condition of

employment as authorized in section 158(a)(3) of this title.

NLRA § 7, 29 USC § 158 provides in part as follows:

- (a) UNFAIR LABOR PRACTICES BY EMPLOYER. It shall be an unfair labor practice for an employer—

* * *

(5) **to refuse to bargain** collectively with the representatives of his employees, subject to the provisions of section 159(a) of this title.

(Emphasis added). Because the ILA’s claims in Count 4 fall squarely within the scope of NLRA Sections 7 and 8, they fall within the exclusive jurisdiction of the NLRA. Neither the Commission nor the courts of appeal are free to reinterpret the Shipping Act as providing a parallel path for regulating alleged refusals to bargain by unions or employers.

Moreover, nothing in the cases that ILA cites supports their assertion that *Garmon* preemption “applies only to state and local laws, not a federal statute such as the Shipping Act.” Similarly, discussion about whether claims are “contractual” or “representational” is a red herring here, as none of the claims are contractual. Instead, like in *Garmon*, Count Four alleges conduct that is subject to §§ 7-8 of the NLRA and, thus, the Commission (just like the federal courts) should hold that the NLRB possesses exclusive jurisdiction to hear them.²

Respondents’ argument that Count Four is barred by the exclusion in 46 U.S.C. § 40301(d) is not a “policy argument.” Rather, as detailed in the Motion, Congress purposely provided that the Shipping Act does not apply to maritime labor agreements. Moreover, the legislative history

² Respondents also reiterate that, at the discovery and later phases of this FMC proceeding, appropriate protections should be implemented by the Presiding Officer to ensure that the FMC processes cannot be leveraged to influence, undermine or end-run policies, procedures and proceedings of the NLRB, its Federal Mediation and Conciliation Service or other agencies for the proper adjudication and resolution of outstanding labor disputes between the parties.

cited in the Motion is not “extrinsic evidence” that the Presiding Officer is barred from considering. The agency and litigants before it refer to the legislative history of the Shipping Act as a matter of course to highlight the statutory purpose and congressional intent underlying the Act.

Respondents do not repeat the remaining arguments in the Motion on this point, except to note that the claims asserted in Count Four are not covered by the Shipping Act, and permitting Count Four to go forward will require the Commission to adjudicate labor-management matters that are currently the subject of bargaining between the two sides and grievances pending arbitration before the Federal Mediation and Conciliation Service. The Commission does not have any basis to assert such authority.

C. The ILA’s Prayer for Reparations Should Be Stricken.

Respondents stand by their prior argument that the ILA’s prayer for reparations should be stricken. The ILA has not pled any factual allegations of monetary damages or other actual injury that it has suffered, and it cannot maintain a claim for reparations for harm to non-parties like carriers. Striking the ILA’s prayer for reparations is not “harsh” – it is legally appropriate and warranted by both the facts and the ILA’s insufficient pleadings. If the ILA cannot provide Respondents any notice of claimed ILA damages at the pleading stage of this proceeding, Respondents cannot fairly be expected to investigate and rebut any purported damages in the next phases of this case.

II. CONCLUSION

For the foregoing reasons, Respondents respectfully request that Respondents' Motion be granted, and all such other and further relief as may be just and proper.

Dated August 12, 2022

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Complainant's counsel of record by email on this 12th day of August 2022.

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